ADITYA KHEMKA

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EDUCATION AND QUALIFICATIONS

2021-2026	**University of Oxford** Saïd Business School, UK	**D.Phil. (PhD.) Financial Economics** Member of New College
2018-2019	**University of Oxford** Saïd Business School, UK	**M.Sc. Financial Economics** Grade: Merit
2015-2018	**Ashoka University** India	**B.Sc. (Hons.) Economics & Finance** GPA 3.89/4.0, *Magna cum Laude*

CURRENT RESEARCH

Research Interests: Wealth Inequality, Climate Change, Banking & Regulation, Asset Pricing, Financial Stability, General Equilibrium Models, Structural Modeling

1. **Green Policy, Unequal Outcomes**
   Joint with Dimitrios P. Tsomocos

   Abstract: We investigate how climate-focused financial regulations impact wealth inequality and economic welfare. Who loses on the climate transition path and/or due to environment policy? Which trade-offs should policy makers address? We develop a two-period general equilibrium model with heterogeneous households, incomplete markets, and endogenous climate damages to assess the effects of green capital requirements and carbon taxes. Our findings reveal that while green capital regulations reduce pollution, they also constrain credit allocation, lowering aggregate efficiency and amplifying wealth inequality through labor market distortions. We identify a fundamental trade-off: policies that effectively mitigate environmental harm tend to increase inequality, while those that reduce inequality often fall short in addressing climate risks. We show that carbon taxes outperform green capital regulations in reducing emissions and cause a smaller rise in inequality. Empirical evidence supports these findings, particularly in developed economies where credit contraction exacerbates distributional disparities. Our results highlight the need for policymakers to balance environmental goals with equity considerations in designing climate policy.

   Presentations: Bank of England Financial Stability Seminars (September 2025); Bank of England PPD Research Group (May 2025); Oxford Saïd - VU SBE Macro-finance Conference, Oxford (June 2024); IV Central Bank Conference on Environmental Risks, Mexico City (December 2023)

2. **The Inequality Multiplier: Market Inelasticity and the Persistence of Wealth Inequality** 🔗
   Joint with Charles Christopher Hyland

   Abstract: How does the evolution in equity market structure affect wealth inequality? Rising income inequality, combined with inelastic equity markets, drives persistent wealth disparities via large asset price increases—an "inequality multiplier." Using a general equilibrium model, we identify two channels: the equity investment channel, where wealthy households' higher propensity to save amplifies asset price booms, and the borrowing channel, where increased indebtedness in the economy raises asset prices via greater rebalancing demand from financial intermediaries. Calibrating a quantitative model to historical data, we find that wealth inequality is self-perpetuating—market inelasticity magnifies effects of rising income inequality, resulting in larger, more persistent wealth disparities. The model replicates observed wealth concentration dynamics, revealing how asset market frictions explain rising wealth inequality beyond existing explanations. The equity investment channel drives long-run trends in wealth inequality, while the borrowing channel drives short-run cycles. Our findings show how recent shifts in financial market structure shape macroeconomic outcomes.

   Presentations: AFA Annual Meeting Poster Session (January 2026); Bank of England Macro Brown Bag (July 2025); Asian Finance Association, Taipei (June 2025); Trans-Atlantic Doctoral Conference, London Business School (June 2025); Rethinking Economic Theory Conference, Athens (December 2024)

   Winner, 2025 Saïd Foundation Award for the best doctoral paper in finance, Saïd Business School, Oxford.

3. **Climate Change, Macroprudential Policy Responses & their Distributional Consequences in South Africa**
   Joint with Christina Laskaridis and Dimitrios P. Tsomocos
   South African Reserve Bank Working Paper Series, 2025 🔗

   Abstract: In transitioning from coal-dependent growth to a low-carbon economy, South Africa faces intertwined environmental, macro-financial and distributional risks. We build a two-period computable general equilibrium model with heterogeneous households, firms and a dual- tier banking system, embedding endogenous default, brown and green capital markets and a pollution-damage feedback. After calibrating to South African data, we compare three instruments – downstream carbon taxes, brown risk-weighted capital surcharges and green capital discounts – individually and jointly. Carbon taxation most sharply curbs emissions and, when revenues are rebated to workers, also narrows wealth and consumption inequality. Brown penalising factors restrain leverage and reduce default probabilities but raise energy prices and widen wage inequality; green supporting factors lower financing costs yet trigger a Jevons-type rebound that can increase coal demand. Welfare decompositions show that no single tool dominates; the optimal approach involves pairing a carbon tax with prudential tweaks that balance climate gains, stability and equity for South Africa.

Presentations: Committee of Central Bank Governors in SADC (CCBG) Climate Change Policy Dialogue, Lusaka (July 2025)

OTHER PROJECTS

1. **From Theory to Toolkit: Advancing Optimal CCyB Policy Design**
   Joint with Sudipto Karmakar, Kunal Khairnar and Isabelle Roland

   This project develops an optimal Countercyclical Capital Buffer (CCyB) policy rule within a comprehensive macro-financial general equilibrium model calibrated to the UK economy. Using a three-default ("3D") framework that endogenizes defaults across households, firms, and banks, the research constructs a welfare-consistent loss function aligned with the FPC's primary and secondary objectives. The analysis explores how CCyB policy should respond asymmetrically to macro-financial vulnerabilities and tail risks, assessing the performance of simple indicator-based rules relative to the welfare-optimal benchmark across different economic states.

2. **How do sustainability mandates affect central banks' and regulators' primary objectives?**
   Joint with Dimitrios Tsomocos, Christina Laskaridis, Xuan Wang, Yixiao Tan

   How do sustainability mandates affect central banks' and regulators' primary objectives? Taking environmental risks into consideration, how should optimal regulatory capital frameworks adjust? If central banks implement 'green' policies after integrating environmental risks, how would the price level and inflation change? How should central banks balance the trade-offs (incorporating risks to financial stability) between the cost of deviation from the price stability mandate and the benefit of reducing carbon emissions? Funded by INSPIRE[1] under call for proposals on 'Environment-related Financial Risks and Regulatory Capital Requirements' jointly with the Sustainable Insurance Forum (SIF).

WORK EXPERIENCE

Jul-25 - Feb-26 — **Bank of England**, London, UK
PhD Intern, Macrofinancial Risks Division, Financial Stability Directorate
- Project: Informing CCyB Decisions with a Quantitative Framework (details above)
- Conceptualised an appropriate loss function (and target indicators) for the Financial Policy Committee based on its mandate and remit
- Extended the 3D Model (Clerc et al. 2015) with the loss function, conducted Bayesian estimation to calibrate the model to UK data
- Derived the optimal policy rule and assessed the performance of ad-hoc policy rules

Jan-20 - Sep-21 — **Goldman Sachs (Investment Banking)**, Bengaluru, India / London, UK
Analyst, UK Equity Capital Markets & Corporate Broking / New Markets Coverage
- Executed and supported 10+ live ECM transactions totaling c.$18bn across sectors, including major FTSE 50 clients.
- Acted as sole analyst on key workstreams—transaction structuring, capital raise design, investor targeting, and listing execution.
- Provided strategic equity advice to 20+ Corporate Broking clients (including 10+ FTSE 100), covering capital raising, investor engagement, ESG, & market positioning.
- Select deals: IAG €2.7bn & Rolls-Royce £2.0bn rights issues; Dr. Martens £1.5bn IPO; Wise direct listing. Trained 50+ analysts and interns, managed 2 interns, and achieved top percentile performance reviews (2020–21).

[1] International Network for Sustainable Financial Policy Insights, Research, and Exchange, a designated stakeholder in Network for Greening the Financial System (NGFS)

TEACHING EXPERIENCE

MT 2023 - Present	**Teaching Assistant, Asset Pricing (Masters)** *Core Course for Masters in Financial Economics*	Saïd Business School, Oxford
TT 2023, TT 2024	**Teaching Assistant, Elective Courses (Masters)** Financial Crises / Fixed Income & Derivatives *Electives for MBA and Masters in Financial Economics*	Saïd Business School, Oxford
MT 2022, MT 2024	**Tutor, Diploma in Financial Strategy** *Executive Program*	Saïd Business School, Oxford
MT 2023 - Present	**Tutor in Finance** *Stanford-Oxford Bing Overseas Studies Program*	Stanford House, Oxford
HT 2022, HT 2023	**Tutor, FHS Finance (Undergraduate)** *Elective for BA Hons. Economics & Management* *BA Hons. in Philosophy, Politics & Economics*	University of Oxford

ADDITIONAL INFORMATION

Awards and Grants	• Saïd Foundation award for Best Paper in Finance, 2025 • MFE Teaching Assistant Prize 2023, 2024 (2023 Score: 4.8/5; 2024 Score: 4.9/5) • Saïd Foundation Scholarship, 2021-2025 • Millman Studentship, New College, 2025-2026 • SARB Research Grant for Climate change and its implications for central banks in Southern Africa • INSPIRE Research Grant for Environment-related Financial Risks and Regulatory Capital Requirements, 2022
Referee	• Annals of Finance
Courses & Skills	• **Coding**: MATLAB, Python, STATA, LaTeX • **Masters/PhD Courses**: Advanced Macroeconomics, International Macroeconomics & Finance, Financial Economics, MFE Economics (Micro & Macro), Advanced Econometrics, Financial Crises and Risk Management, Big Data in Finance, Advanced Econometric Forecasting, Fixed Income and Derivatives • **Certified Courses**: Deep Learning Specialization by DeepLearning.AI (Andrew Ng), Machine Learning by Stanford University (Andrew Ng) • **Databases**: Bloomberg (including Excel plugin), Dealogic, Eikon, S&P CapIQ, Federal Reserve Flow of Funds, Survey of Consumer Finances, Realtime Inequality
Achievements	• Awarded Dean's Commendation at Saïd Business School • Elected Course Representative of Masters' in Financial Economics, Oxford • Awarded 'Best Outgoing Student', 'Peer Recognition Award' (Ashoka University) • National Champion, GREAT Debate 2016 (British High Commission)
Interests	Hindustani Classical and World Folk Music, Theater, Astrophysics, History, SciFi
Languages	(Native) English, Hindi; (Intermediate) French
References	Dimitrios Tsomocos, University of Oxford, dimitrios.tsomocos@sbs.ox.ac.uk Abinash Borah, Ashoka University, abhinash.borah@ashoka.edu.in Tom Hartley, Goldman Sachs, tom.hartley@gs.com